deep capabilities, achieve human development indices or create the growth conditions that China did for the last four decades. On the contrary, we have made industrialization harder and until recently, paid inadequate attention to developing the requisite levels of capacities and skills. More relevant to global affairs, India will not get the openness in the world economy that China enjoyed, say in 2006, when they had the same per capita income. Nor can it reach the kind of compact with global capitalism that China could in the past.

There is also a set of political factors that need to be taken into account. For most of its growth period, China faced no pressure from other powers, entrenched or rising. The Soviet challenge diluted in the 1980s and the Tiananmen concerns in the West quickly gave way to profit margins. So, politically at least, it had a good run till recently. India does not enjoy that luxury as it follows China's rise. It has the pressure of a predecessor that China did not have. And that power is a neighbour with whom there are zones of overlapping interests. Equally relevant, the world has become more careful of changing balances than in the past. India, therefore, has its task cut out for it. With less going for us, we also have a harder climb.

Given a difficult bilateral history and now a complicated global context, India's challenge is to manage a more powerful neighbour while ensuring its own rise. In doing so, there must be an understanding on our part that this search for equilibrium is an infinite process. Some issues may be amenable to an early resolution but others may not. The current situation could change and strategic calculations must not be the monopoly of China. Neither should be the willingness to take initiative. Where tested, it is essential to stand one's ground. That experience also drives home the importance of not being psychologically undermined nor allowing constituencies within to be used.

The India-China relationship will always take into account the larger context as they establish an equilibrium. World events determine not just China's overall attitude but its specific demeanour towards India. Currently, this context is dominated by global frictions and systemic differences. It is, therefore, necessary for India to continuously monitor this larger picture as it calibrates its China relationship. In setting the terms of interaction, we